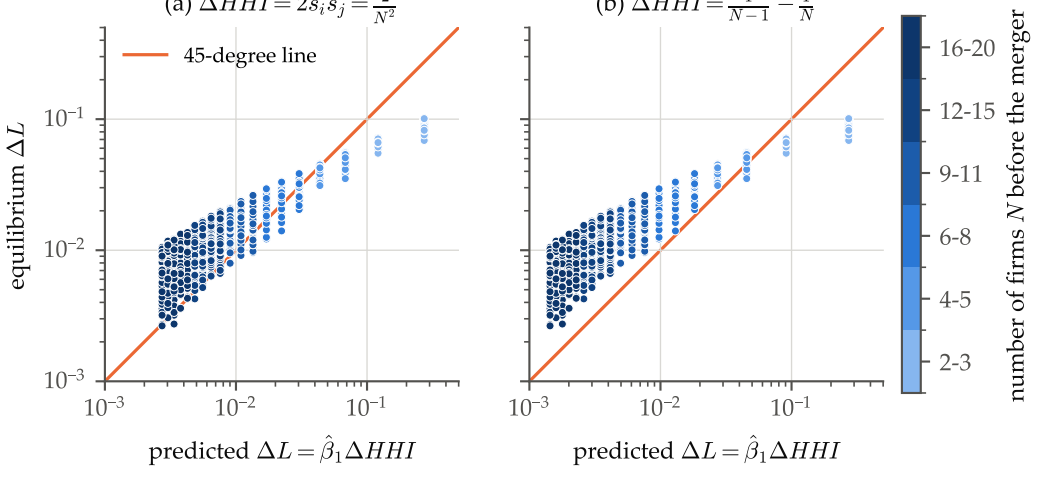

(a) $\Delta HHI = 2s_i s_j = \frac{2}{N^2}$
(b) $\Delta HHI = \frac{1}{N-1} - \frac{1}{N}$
45-degree line
equilibrium ΔL
predicted $\Delta L = \hat{\beta}_1 \Delta HHI$
10^{-1}
10^{-2}
10^{-3}
16-20
12-15
9-11
6-8
4-5
2-3
number of firms N before the merger